FREE RESOURCE · 2025 EDITION

GST RISK CHECKLIST

27-Point Audit-Proof Guide for Indian Businesses

Used by 500+ FiscalEdge clients to identify GST exposure before the department does. Work through each section, tick every item, and flag any gaps for immediate review.

500+	■200 Cr+	1,200+	94%
Clients	GST Saved	Cases	Success Rate

01 SECTION 1 — ITC ELIGIBILITY & BLOCKED CREDITS

#	Item	Risk
1	**All ITC claimed is on valid tax invoices with GST registration of supplier** Supplier must be registered and have filed GSTR-1 for the period	HIGH
2	**GSTR-2B vs purchase register reconciled — all mismatches resolved** Unreconciled mismatches = automatic ITC denial + potential SCN	HIGH
3	**ITC on blocked items (Section 17(5)) not claimed** Motor vehicles, food, club membership, beauty — all blocked under law	HIGH
4	**ITC reversed for exempt supplies (Rule 42/43 apportionment done)** Mixed supply businesses must reverse proportional ITC every month	MED
5	**ITC on capital goods tracked and amortized over 5 years correctly** One-time claim = red flag. Spread over 60 months as required	MED

02 SECTION 2 — GSTR FILING ACCURACY & COMPLIANCE

#	Item	Risk
6	**GSTR-1 and GSTR-3B match — no discrepancies in outward supply** Mismatch between GSTR-1 and 3B is the #1 trigger for scrutiny notices	HIGH
7	**All outward supplies (B2B, B2C, exports) correctly reported in GSTR-1** Under-reporting in GSTR-1 vs e-invoices = automatic detection by GSTN	HIGH
8	**GSTR-9 (Annual Return) filed and reconciled with monthly returns** Discrepancies between GSTR-9 and monthly data attract departmental notices	MED
9	**E-invoicing compliance verified for all eligible transactions** Turnover >■5 Cr must generate IRN — failure = invalid invoice, ITC denied to buyer	MED
10	**HSN/SAC codes correct and consistent across all returns** Wrong HSN = rate mismatch risk and potential demand for differential tax	LOW

03 SECTION 3 — GST NOTICE & SHOW CAUSE NOTICE RISK

11	☐	**All SCNs received have been replied to within the statutory deadline** Missing the 30-day reply window = deemed acceptance of demand	HIGH
12	☐	**First reply to any SCN includes all evidence — not reserved for later** A weak first reply permanently weakens your appellate position	HIGH
13	☐	**Adjudication orders kept and appeal timeline tracked (3 months)** Missing the appeal window means demand becomes final and recoverable	HIGH
14	☐	**Voluntary payments / DRC-03 made where liability is clear** Paying admitted liability reduces penalty risk and shows good faith	MED
15	☐	**All departmental correspondence tracked with receipt confirmation** Unacknowledged correspondence = risk of ex-parte orders	MED

04 SECTION 4 — CUSTOMS, SEZ & CROSS-BORDER COMPLIANCE

16	☐	**Customs classification (HSN/ITC-HS) verified by a specialist** Re-classification by customs = higher duty + demand + penalty on all past imports	HIGH
17	☐	**SEZ unit compliance: LUT filed, zero-rated supplies documented** Missing LUT = IGST payable on all zero-rated exports — retroactively	HIGH
18	☐	**Import documents (Bill of Entry, IGST paid) reconciled with GSTR-3B** Mismatch between IGST on imports and GSTR-3B auto-populates as scrutiny flag	MED
19	☐	**FEMA compliance for cross-border service payments verified** Non-compliance with FEMA adds ED/RBI exposure on top of GST liability	MED
20	☐	**Duty drawback / RODTEP claims filed correctly and on time** Incorrect drawback = recovery + 15% p.a. interest from claim date	LOW

05 SECTION 5 — PRE-GST LEGACY EXPOSURE (SERVICE TAX / EXCISE)

21	☐	**All pre-GST Service Tax demands reviewed — limitation period checked** Demands issued after 5 years (extended period) may be time-barred	HIGH
22	☐	**Central Excise demands from FY2013-2017 audited for closure** Excise audits from pre-GST era are still being adjudicated in 2025	HIGH
23	☐	**CENVAT credit transitional claims (TRAN-1 / TRAN-2) documented** TRAN credits under litigation — keep all supporting records accessible	MED
24	☐	**VAT assessments from pre-GST states closed or appealed** State VAT demands still carry interest + penalty even after GST transition	MED

06 SECTION 6 — AUDIT READINESS & DOCUMENTATION

- **25** ☐ **Physical records match digital filings for past 6 financial years** — HIGH
  GST law requires records to be maintained for 72 months — not just current year
- **26** ☐ **Inward supply invoices, debit notes, credit notes all preserved** — HIGH
  Missing input documents = ITC reversal if selected for audit
- **27** ☐ **Job work documentation (challans, returns) in order under Sec 143** — MED
  Job work goods not returned within 1 year = taxable supply — retroactively

HOW TO SCORE YOUR CHECKLIST

Count all unchecked items. Tally by risk level.

0 unchecked	Audit-proof. You're in excellent shape.
1-3 HIGH risk items	Moderate exposure. Address within 30 days.
4+ HIGH risk items	Significant risk. Consult FiscalEdge immediately.

FOUND A GAP? HERE'S WHAT TO DO NEXT.

1. WhatsApp your checklist results to +91 80006 59645 — mention which items are unchecked
2. A senior FiscalEdge advisor will review your situation within 2 hours
3. You'll receive a free, plain-language risk assessment with recommended next steps
4. No obligation — you decide whether to engage us, completely your call

FISCALEDGE ADVISORS

Formerly AT GST Solutions · Established 2000+ · GST Dispute & Litigation Specialist

20+ Years	500+ Clients	■200 Cr+	94%
Domain Expertise	Pan-India	GST Saved	Success Rate

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